

26SMCV02094 26SMCV02094

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Case Number: 26SMCV02094 Hearing Date: June 24, 2026 Dept: 207

TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

June

24, 2026

CASE NUMBER

26SMCV02094

MOTION

(1)

Motion to Seal

(2)

Motion to Change Venue

(3)

Motion for Preliminary Injunction

MOVING PARTY

(1)

Plaintiff Amada Health Ghalchi d/b/a Amada Health

(2)

Defendants Erick Madrigal, M.D., M.B.A., Inc. d/b/a

Living Water Clinic, d/b/a Clinica Agua Viva and Erick Madrigal

(3)

Plaintiff Amada Health Ghalchi d/b/a Amada Health

OPPOSING PARTY

(1)

none

(2)

Plaintiff Amada Health Ghalchi d/b/a Amada Health

(3)

none

MOTIONS

This case arises from a business dispute.

On April 14, 2026, Plaintiff Amada Health Ghalchi Corp. d/b/a Amada

Health ("Plaintiff" or "Amada") brought suit against Defendants Erick Madrigal, M.D., M.B.A., Inc. d/b/a Living Water Clinic, d/b/a Clinica Agua Viva ("Living Water") and Erick Madrigal ("Madrigal") (together, "Defendants") alleging three causes of action for (1) declaratory relief; (2) breach of contract; and (3) intentional interference with contractual relations.

The crux of the dispute is that Plaintiff and third-party Mario A.

Ochoa M.D. Inc. d/b/a Ochoa Family Clinic ("Ochoa") allegedly entered into a Primary Care Participating Provider Agreement whereby if Ochoa contemplates selling any of its assets or shares, Plaintiff would have a first right of refusal to purchase. Yet, thereafter, Ochoa and

Living Water apparently entered into a Business Sale Agreement, whereby Living Water purchased Ochoa's assets, including all clinic and provider contracts, to the extent transferrable. Living Water

subsequently informed its patients, Medicare agents, and health plans that

Plaintiff is no longer under contract with Ochoa and has solicited new

membership with another group health network or managed care organization.

By its Complaint, Plaintiff seeks a declaration that its agreement

with Ochoa is valid and enforceable, as well as damages for Defendants' alleged

breaches of the agreement, and for Defendants' intentional interference with

Plaintiff's contractual relations.

Plaintiff now moves for a preliminary injunction. Plaintiff also moves to seal Exhibit 2

attached to the Ghalchi Declaration filed in support of the motion for

preliminary injunction.[1] Both the motion for preliminary injunction

and the motion to seal are unopposed.

Defendants Living Water and Madrigal move to change venue. Plaintiff opposes the motion to change venue

and Defendants reply.

DISCUSSION

I.

MOTION TO SEAL

a. Legal

Standard

Unless confidentiality is required

by law, court records are presumed to be open to the public, pursuant to a

potent “open court” policy undergirded by the First Amendment and favoring the

public nature of court proceedings. (Cal. Rules of Court, rule 2.550(c); see NBC

Subsidiary (KNBC-TV), Inc. v. Superior Court (1999) 20 Cal.4th 1178,

1199-10.) Consequently, pleadings, motions, discovery documents, and other

papers may not be filed under seal merely by stipulation of the parties; filing

under seal requires a court order. (Cal. Rules of Court, rule 2.551(a); see H.B.

Fuller Co. v. Doe (2007) 151 Cal.App.4th 879, 888.)

A sealing order must be sought by means of a motion (or application)

and accompanied by a memorandum of points and authorities, as well as evidence

and testimony containing facts sufficient to justify the mandatory findings

required to support a sealing order. (Cal. Rules of Court, rules 2.550(d)

& 2.551(b).) The proponent of the sealing order must also conditionally

lodge the unredacted matter to be sealed with the court. (Cal. Rules of Court,

rule 2.551(b)(4).)

To grant a motion to seal, a trial court must expressly find that: (1)

an overriding interest exists that overcomes the right of public access to the

record; (2) the overriding interest supports sealing the records; (3) a

substantial probability exists that the overriding interest will be prejudiced

if the record is not sealed; (4) the proposed sealing is narrowly tailored; and

(5) no less restrictive means exist to achieve the overriding interest. (Cal.

Rules of Court, rule 2.550 (d).) "If the trial court fails to make the required

findings, the order is deficient and cannot support sealing." (Overstock.com,

Inc. v. Goldman Sachs Group, Inc. (2014) 231 Cal.App.4th 471, 487; see also In re Marriage of Tamir

(2021) 72 Cal.App.5th 1068, 1087 ["express findings must be made to seal

records"].)

b. Analysis

Lodged with the Court as Exhibit 2 to the Ghalchi Declaration is the

Business Sale Agreement between Ochoa and Living Water. The version lodged with the Court has redacted out all financial terms and non-compete timelines, as well as the timeline for curing defaults under the agreement.

Ultimately, the Court does not find that Plaintiff has met its burdens to demonstrate any overriding interest that overcomes the right of public access to the agreement. Nor does the

Court find the request to be narrowly tailored, as the existence, date, parties to, general nature of, and certain specific terms of the agreement have already been revealed in the public record, as referenced and described in both the Complaint and the motion briefing.

Therefore, finding no overriding interest and that the request is not narrowly tailored, the Court denies Plaintiff's motion to seal Exhibit 2 to the Ghalchi Declaration.

II.

MOTION TO CHANGE VENUE

a. Legal

Standard

"Except as otherwise provided by law

and subject to the power of the court to transfer actions or proceedings as provided in this title, the superior court in the county where the defendants

or some of them reside at the commencement of the action is the proper court

for the trial of the action.” (Code Civ.

Proc., § 395, subd. (a).)

“Subject to the power of the court

to transfer actions or proceedings as provided in this title, in an action

arising from an offer or provision of goods, services, loans or extensions of

credit intended primarily for personal, family or household use, other than an

obligation described in Section 1812.10 or Section 2984.4 of the Civil Code [...]

the superior court in the county where the buyer or lessee in fact signed the

contract, where the buyer or lessee resided at the time the contract was

entered into, or where the buyer or lessee resides at the commencement of the

action is the proper court for the trial of the action.” (Code Civ. Proc., § 395, subd. (b).)

“If it appears from the complaint or

affidavit, or otherwise, that the superior court or court location where the

action or proceeding is commenced is not the proper court or court location for

the trial, the court where the action or proceeding is commenced, or a judge

thereof, shall, whenever that fact appears, transfer it to the proper court or

court location, on its own motion, or on motion of the defendant, unless the

defendant consents in writing, or in open court (consent in open court being

entered in the minutes of the court), to the keeping of the action or

proceeding in the court or court location where commenced. If that consent is given, the action or proceeding may continue in the court or court location where commenced." (Code Civ. Proc., § 396a, subd. (b).)

Further, the court may, on motion,

change the place of trial in the following cases:

(a) When the court designated in the complaint is not the proper court.

(b) When there is reason to believe that an impartial trial cannot be had therein.

(c) When the convenience of witnesses and the ends of justice would be promoted by the change.

(d) When from any cause there is no judge of the court qualified to act.

[...]

(Code

Civ. Proc., § 397.)

b. Analysis

The Complaint centers jurisdiction and venue in this Court on the

grounds that (i) the subject agreement was entered in Los Angeles County; (ii)

Madrigal resides in Los Angeles County; and (iii) Los Angeles County is the forum selected in the subject agreement.

Defendants argue that this action is not properly venued in Los

Angeles County because they were not signatories to the subject Primary Care

Participating Provider ("PCP") agreement, Dr. Madrigal's residence/domicile and

Living Water's headquarters are both in Porterville, Tulare, County, where

Plaintiff served them with the summons in this matter, and neither Dr. Madrigal

nor Living Water operate dental services or practices in Los Angeles County, or

have any other business in Los Angeles County related to the subject of the Complaint. (Madrigal Decl. ¶¶ 3-9.) Further, all witnesses for Living Water and

Ochoa reside in either Tulare County or Fresno County, not Los Angeles. (Madrigal Decl. ¶ 10.)

In opposition, Plaintiff argues that because Defendants later acquired

the Ochoa clinic, who was a signatory to the PCP agreement, they are bound by

its terms vis-à-vis the instant dispute with Amada, which Defendants were

informed about in or around January 2026, after which Defendants refuse to

abide by the terms of the PCP agreement and proceeded to inform members that

the Ochoa clinic no longer participated in Amada's managed care plan and that

the Ochoa clinic would no longer serve them unless they left Amada's

network.

In reply, Defendants argue that they did not assume the obligations or

liabilities of the PCP Agreement or agree to a Los Angeles forum selection

clause, and were not even aware of the PCP Agreement until Amada contacted them, which was after they purchased Ochoa's assets.

Of the three stated bases for venue in Los Angeles County, Defendants have demonstrated that they do not reside in Los Angeles County and that they were not signatories to (or even aware of) the PCP Agreement until after their acquisition of Ochoa. Thus, the question is whether the forum selection clause contained within the PCP Agreement can be imputed to Defendants now, by virtue of their acquisition of Ochoa, who did sign the PCP Agreement.

Defendants argue that it cannot because their acquisition agreement with Ochoa expressly disclaims the transference of any of Ochoa's liabilities or obligations, (which includes the PCP Agreement) onto Defendants and because the agreement only transferred clinic and provider contracts "to the extent transferrable."

Plaintiff argues that because Defendants effectively purchased all of Ochoa's assets, Defendants have effectively merged with Ochoa, and California law therefore deems it the successor to Ochoa's liabilities as well. (See, e.g., *Petrini v. Mohasco Corp.* (1998) 61 Cal.App.4th 1091, 1094 [a "purchaser does not assume the seller's liabilities unless (1) there is an express or implied agreement of assumption, (2) the transaction amounts to a consolidation or merger of the two

corporations, (3) the purchasing corporation is a mere continuation of the seller, or (4) the transfer of assets to the purchaser is for the fraudulent purpose of escaping liability for the seller's debts"].)

Defendants point out that because of the carve-outs, they did not effectively purchase all of Ochoa's assets, that Dr. Ochoa remains the agent and owner of Ochoa Family Clinic to this day, and Ochoa Family Clinic remains a separate legal entity. Further,

Defendants deny refusing service to Amada members and argue that the PCP Agreement was not the only provider contract for Ochoa, and that they communicated with the other providers of which they were aware.

Ultimately, because of Defendants' attenuated connection to the PCP Agreement, and the fact that all Defendant witnesses and Ochoa witnesses will be in either Tulare County or Fresno County, the Court finds that the convenience of witnesses and the ends of justice will be more appropriately served with this case venued in Tulare County, where Defendants reside.

As such, the Court grants Defendants' motion to change venue.

III.

PRELIMINARY INJUNCTION

Having granted Defendants' motion to change venue, the Court defers to the receiving court on the Motion for Preliminary Injunction.

CONCLUSION AND ORDER

Having found no overriding interest in support of sealing Exhibit 2,
and finding that the request is not narrowly tailored, the Court denies
Plaintiff's motion to seal.

Further, finding that the convenience of witnesses and ends of
justices will be better served with this case venued in Tulare County, where
Defendants reside and other percipient witnesses reside, the Court grants
Defendants' motion to change venue. Further, the Court orders Defendants to take
all steps to have the case transferred to the Superior Court in and for the County
of Tulare, and pay all necessary fees related to the transfer of the case.

Further, the Court vacates the Case Management Conference scheduled on
August 13, 2026 as moot, and will enter the proposed Order lodged on May 20,
2026 in conformity with the ruling.

Defendants shall provide notice of the Court's ruling and file a proof
of service of such forthwith.

DATED: June 24, 2026 _____/s/_____

Michael

E. Whitaker

Judge

of the Superior Court

[1] Although the exhibit was filed in support of the motion for preliminary injunction, Plaintiff also references and relies upon the Declaration and Exhibit 2 in opposition to Defendants' motion to change venue.